

THE AMTEK SAGA

The inside story of how the auto parts maker got involved in the alleged fraud and landed in RBI's 'Dirty Dozen' list

BY MUNISH CHANDRA PANDEY

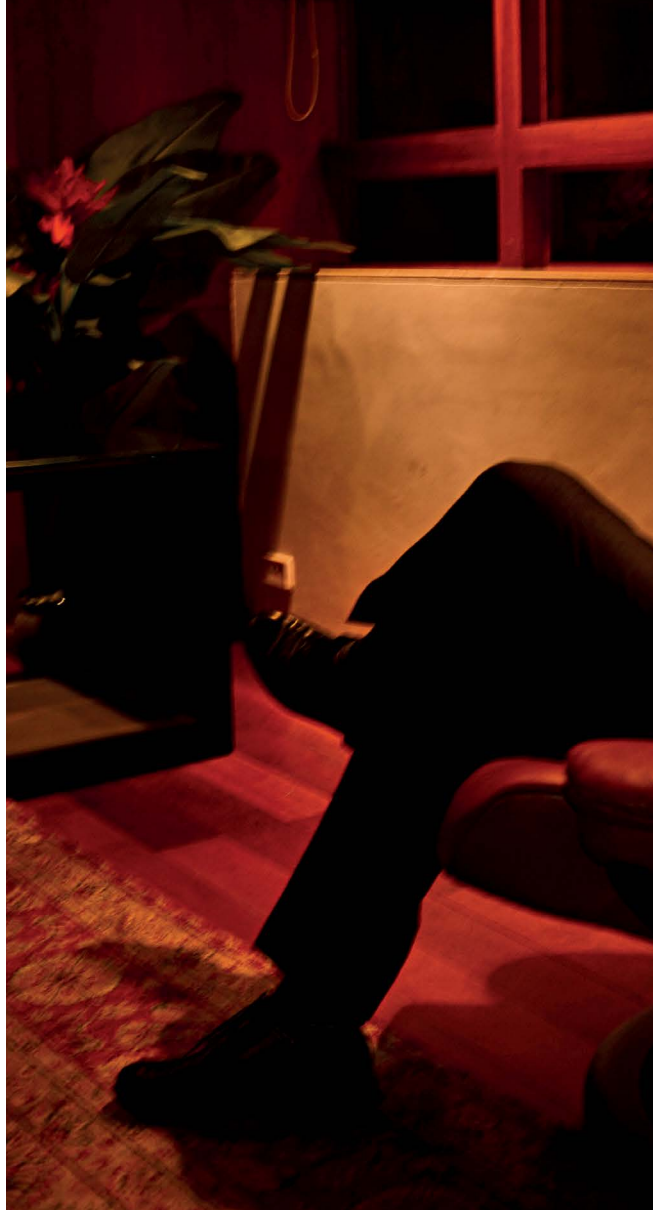


PHOTO BY VIVAN MEHRA



AMTEK AUTO LTD, once among India's leading automotive component manufacturers,

began as a rising auto-components manufacturer. It then embarked on an aggressive acquisition spree overseas (including UK), often financed via large borrowings rather than internal accruals. The debt mounted rapidly: one report notes borrowing rose from around ₹3,800 crore to about ₹14,200 crore within a few years, and eventually much more.

Amtek became synonymous with corporate distress when it landed in the Reserve Bank of

India's (RBI's) "Dirty Dozen" list in 2017. This list named 12 large corporate defaulters that were to be pushed into insolvency proceedings under the newly implemented Insolvency and Bankruptcy Code (IBC). The inclusion of Amtek Auto reflected not just the company's financial collapse but also the systemic failures of India's banking and industrial lending practices. At its peak, Amtek Auto supplied components to major automobile manufacturers in multiple countries. But aggressive expansion through acquisitions—both domestic and overseas—led to mounting debt and over-leveraging.

The company's inability to integrate these acquisitions efficiently, coupled with a slowdown in the automobile sector, squeezed cash flows and eroded profitability. By 2016, Amtek's consolidated debt had ballooned to over ₹26,000 crore.

Despite multiple restructuring attempts and sale of non-core assets, Amtek failed to meet repayment obligations. It became a test case for the IBC framework. However, its resolution faced multiple hurdles—bidders backed out, valuations dropped sharply, and several legal disputes delayed recovery. Several bidders expressed interest in the first round of insol-